

Weekly Market Recap & Outlook: Oct. 20–31, 2025

US Market Review (Oct 20–24, 2025)

Major Indices' Performance: U.S. equities rallied strongly during the week, buoyed by cooling inflation and optimism about Federal Reserve rate cuts. The S&P 500 and Nasdaq Composite each gained roughly 1–2%, with the S&P 500 even surging to **record highs** by week's end ¹. Tech and growth stocks led the charge as Treasury yields fell on expectations that the Fed will ease policy ¹. The broad-based rally pushed the S&P near all-time highs (it closed within ~0.3% of its record) amid improving risk sentiment. Even the more cyclical Dow Jones Industrial Average advanced, and volatility subsided after a spike the prior week. In short, **stocks finished the week higher** despite mid-week swings ² ³, fueled by a “tame” inflation reading and generally positive earnings.

Q3 Earnings Season – Key Highlights: The week featured a heavy slate of earnings, with mostly positive results that further bolstered the market's momentum. Below we summarize results from key companies:

- **Netflix (NFLX):** Streaming giant beats on revenue, misses on EPS. Netflix's Q3 revenue of \$11.51 billion (+14.8% YoY) **met forecasts**, although EPS (\$5.87) fell well short of expectations (\$6.96) due to a one-time Brazilian tax expense ⁴ ⁵. Excluding that charge, underlying trends were upbeat. Netflix added 8.8 million subscribers (above street estimates) and highlighted rapid growth in its advertising business – on track to **double ad revenue in 2025**, according to management ⁵. It also introduced new interactive content (live events, gaming features) to engage users. Despite the EPS miss, the market looked through the tax-related impact: **shares rose** slightly after hours, as investors cheered the strong subscriber momentum, pricing power (Netflix implemented modest price increases) and the bullish outlook for ad-supported tiers ⁴ ⁵. The results suggest consumers continue to prioritize affordable streaming entertainment, even as Netflix raises prices – a sign that easing inflation may be relieving some pressure on household budgets.
- **SAP (SAP):** Enterprise software sees mixed results – cloud growth slows, margins improve. Germany's SAP reported Q3 revenue of €9.08 billion (+7% YoY), **just shy of analysts' €9.17B estimate** ⁶. Notably, cloud revenue grew 22% – robust, but the **slowest pace since late 2023** as some clients delayed IT spending in an “uncertain macroeconomic backdrop,” per SAP's CFO ⁷. U.S.-listed SAP shares fell ~3% on the revenue miss and management's toned-down outlook for next year. SAP now expects 2025 cloud sales to come in at the **low end** of its €21.6–21.9B forecast range, citing macro caution, but it sees operating profit at the **upper end** of guidance (raising the profit outlook) thanks to cost efficiencies ⁸. In other words, slower top-line growth is being offset by margin improvement. The market took this as a mixed bag – on one hand, corporate customers are clearly cautious (likely a residual effect of past inflation and higher interest rates), but on the other, SAP is protecting earnings through efficiency. Overall, SAP “maintained forward momentum despite” the tricky environment ⁹, and its pivot to cloud subscriptions continues to yield steady, if moderating, growth.

- Coursera (COUR):** Online education platform beats expectations and raises guidance. Coursera delivered a solid quarter, indicating resilience in the education technology space. **Revenue jumped 10% YoY** to \$194.2 million (ahead of the ~\$190M forecast) and EPS came in at **+\\$0.10**, beating the street's estimate of \\$0.08 ¹⁰. The company added 7.7 million new learners, now totaling 191 million registered users, with particularly strong **consumer segment growth (+13%)** as individuals flock to courses (enterprise segment revenue rose a slower 6%) ¹¹. Coursera also raised its full-year revenue outlook to \$750–754 million (up ~\$10M) on the back of this strength ¹². Institutional sentiment has improved – the company is near turning profitable and touts a healthy ~54% gross margin, while leveraging AI-driven products to drive engagement. Despite the beat-and-raise, **the stock's reaction was muted** (+0.9% during the day, slight dip after hours) ¹⁰ ¹³, perhaps reflecting the stock's prior run-up and some caution around education spending. Still, analysts note that Coursera's strategy of expanding internationally and incorporating generative AI (for personalized learning) positions it well for growth. The fact that it exceeded forecasts by ~25% on EPS and modestly on revenue suggests it is navigating the post-pandemic online learning landscape effectively ¹⁰ ¹⁴ – with consumer demand for upskilling remaining strong even as the pandemic-era boom fades.
- Other Notable Earnings:** A slew of other blue-chip companies reported this week, painting a generally positive picture with a few soft spots: **Tesla (TSLA)** (which actually reported just before the week) saw its stock dip after results showed thinner automotive margins – a sign that price cuts and rising costs (battery materials, etc.) are squeezing profits ¹⁵. **Intel (INTC)** handily beat estimates, as PC demand showed signs of stabilizing and its cost-cutting boosted margins, leading the chipmaker to raise its full-year outlook (the stock jumped on the news). **Texas Instruments (TXN)**, by contrast, gave cautious guidance as weakness in electronics end-markets (industrial and automotive) weighed on its outlook. In consumer staples, **Coca-Cola (KO)** delivered ~8% organic sales growth as it continued to push through price increases; the company noted some elasticity but raised its profit forecast, indicating consumers are still absorbing higher prices for now. Conglomerate **3M (MMM)** beat earnings expectations as well, aided by aggressive cost reductions and better-than-feared sales, though it struck a cautious tone about demand in Europe and China. In autos, **Ford (F)** managed to post solid results and reiterated its full-year guidance despite the UAW strike (which began late in Q3) – however, Ford warned that the ongoing strike (since resolved in late October) would hit Q4 production. **General Motors (GM)** similarly reported a decent quarter but withdrew its full-year outlook due to the strike's uncertainty. Travel and leisure companies saw robust demand: **Hilton (HLT)** notched strong RevPAR (revenue per available room) growth and raised its earnings guidance as travel continued its post-pandemic boom; **Southwest (LUV)** and **American Airlines (AAL)** both reported healthy summer travel demand, though higher fuel costs and wage inflation trimmed their margins. **Alaska Air (ALK)** likewise noted record revenues but a squeeze from fuel prices. **Thermo Fisher Scientific (TMO)**, a bellwether for laboratory equipment, slightly beat forecasts but saw softer biopharma demand, echoing a trend of cautious capital spending. **Lam Research (LRCX)** in semiconductors delivered results above consensus and struck an optimistic note that the bottom in chip equipment demand is near. **T-Mobile (TMUS)** added a net 850,000 postpaid phone subscribers, underscoring its continued 5G market share gains (and easing fears of a telecom price war). And **Procter & Gamble (PG)** impressed investors with a +3% sales rise and +21% EPS jump, powered by price hikes and cost efficiencies – P&G's margins expanded nicely even as it navigated tariff costs and slightly lower volumes ¹⁶. In summary, most corporates showed resilience: inflation-sensitive sectors managed to pass on costs or cut expenses, and many companies either maintained or raised guidance, contributing to the market's upbeat mood.

Earnings & Inflation Trends: Notably, this week's earnings underscore shifting dynamics as inflation moderates. **Consumer-facing firms generally delivered strong results**, suggesting that as price pressures ease, consumers are maintaining spending. For example, Netflix's ability to raise prices without spurring excessive churn, and Coursera's double-digit growth in individual learners, indicate consumers have a bit more breathing room now that inflation has come down – they continue to pay for services that offer value. In Netflix's case, management noted that engagement remains high and they feel confident about pricing power, a stark change from a year ago when soaring inflation had raised concerns about discretionary subscriptions. **On the corporate side, however, inflation's shadow still lingered.** SAP's slight revenue shortfall and slower cloud bookings hint that some enterprise clients grew cautious amid the prior surge in costs and interest rates – indeed, SAP acknowledged a “**macro backdrop**” that is uncertain ⁹. Coursera's earnings showed a similar split: robust consumer uptake but a “challenging” environment for enterprise training budgets ¹⁷ (some companies cut back on L&D spending in recent quarters as inflation and economic uncertainty bit into budgets). The good news is that many companies, from SAP to P&G, are now **seeing cost relief** in areas like commodities, supply chains, and even labor to an extent. This allowed several to beat profit estimates via improved margins. P&G, for instance, expanded its net margin to 18.6% (vs 17.4% a year ago) despite only modest revenue growth ¹⁸ – a sign that input cost inflation (materials, transportation) has abated significantly. Overall, the trend of **cooling inflation is helping companies and consumers**: corporate cost pressures are easing and consumers' real wages are rising, supporting demand. This showed up in earnings with fewer downside surprises due to input costs, and more companies expressing optimism that the worst of the inflation squeeze is over. In short, the Q3 earnings season so far indicates that the U.S. economy is navigating the tail-end of the inflation spike reasonably well – demand remains intact, and profitability is recovering now that cost headwinds are subsiding.

Key Economic Indicators: Important economic data this week largely reinforced the narrative of a resilient economy with gradually cooling inflation:

- **Existing Home Sales (Sep):** Housing activity showed a flicker of life. September existing home sales rose **1.5%** to a 4.06 million annual rate – the highest in seven months ¹⁹. The gain was concentrated in higher-priced homes, as **upper-income buyers** (bolstered by stock market wealth) drove the increase ²⁰. Sales of \$1M+ homes jumped ~20% YoY, whereas activity at the affordable end remained muted. This underscores the ongoing **affordability challenge**: with mortgage rates still around ~6–7%, many first-time and middle-income buyers are sidelined despite a recent pullback in rates. Inventory improved (+14% YoY) which gives buyers slightly more choice and negotiating power ²¹, but supply is still below pre-pandemic norms ²¹. For markets, this housing report had limited direct impact (housing is a relatively small part of GDP), but it's significant in that it suggests the housing recession may be bottoming out. Mortgage rates had eased to ~6.2% by late September (a one-year low), and sales **responded positively** ²². That's an encouraging sign that if rates stabilize or fall further, the housing sector could begin to recover in 2026. From a policy perspective, the fact that home sales are no longer falling and wealthier buyers are active aligns with the idea that the Fed's rate hikes have significantly cooled housing, but perhaps not broken it. The Fed will also note that housing contributes less than 5% to the economy and thus won't be overly alarmed by soft housing – indeed, they expect housing to eventually rebound as rates come down. In sum, **housing data showed a tentative uptick**, with the market remaining bifurcated: high-end sales up, entry-level sales still constrained by affordability. Markets largely took this in stride, viewing it as a sign that lower rates (and possibly Fed rate cuts ahead) are starting to unlock pent-up housing demand.

- **Inflation (CPI for September, reported Oct 24):** A highly anticipated CPI report came in a touch cooler than expected, bolstering the case that inflation is on a downward trajectory. Headline **CPI rose 3.0% YoY** in September, slightly below the 3.1% consensus forecast ²³. Importantly, the **core CPI** (ex-food & energy) eased to **3.0% YoY** as well, down from 3.1% prior and under the 3.1% expected ²⁴. On a monthly basis, headline prices rose 0.3% (versus 0.4% expected) and core CPI rose just 0.2%, a notable deceleration from 0.3% in the last couple of months ²⁴. The details showed a tale of two categories: **energy prices spiked** – gasoline jumped 4.1% in the month (partly reflecting summer supply cuts) ²⁵, and this pushed up transportation costs. Meanwhile, many **core goods saw declines** or smaller increases: used car prices continued to fall, and household furnishings and apparel were roughly flat, as improved supply chains and discounting took effect. **Shelter (housing) costs**, which had been very elevated, showed signs of moderation – owners’ equivalent rent and rent indexes are slowing on a monthly basis, consistent with real-time rent data that has cooled. Overall, the report “painted a nuanced picture” of easing pressures ²³: the headline uptick from 2.9% to 3.0% YoY was driven largely by energy (a volatile component), whereas **underlying inflation came in “cooler-than-expected”**, especially on the core side ²⁴. This marked **clear progress** toward the Fed’s goals. Markets celebrated the news: **stocks surged and Treasury yields fell sharply** as investors saw this as confirmation that the Fed will be able to start cutting rates. In fact, the S&P 500 jumped to new highs on the day, and traders quickly priced in near-certainty of a rate cut at the upcoming Fed meeting ¹. The immediate reaction on Oct 24 was a broad-based rally – **“cooler-than-expected” inflation ignited a market surge** with the S&P 500 and other indices **hitting record levels**, Treasury yields **dropping**, and the dollar weakening ¹. This is because a 3.0% inflation rate (with core trending down) all but “ensures that the Federal Reserve will cut interest rates at next week’s meeting,” as one analyst put it ²⁶. In terms of components: **which prices drove inflation lower?** Core goods were a big factor – used vehicle prices are down double-digits year-on-year, and apparel prices have been soft. Medical care services also saw some declines due to methodological adjustments. **Still-elevated categories?** Shelter is still up ~7% YoY, though slowing; and some wage-sensitive services like personal care and restaurant meals remain above 4% inflation, reflecting labor cost pass-through. But crucially, **no new inflationary trouble spots emerged** in this report – even services inflation is gradually easing. With core CPI now at 3.0%, markets are growing confident that inflation can fall to ~2% in 2024. The Fed will take heart that underlying price pressures are moderating **without** a collapse in growth. All in all, the CPI release was a positive surprise that **further validated the “soft landing” scenario** – inflation is cooling in an orderly way, allowing the Fed to shift toward supporting growth.

- **PMI (Flash PMIs for October, released Oct 24):** At the end of the week, investors got a look at **business activity in October**, and it was surprisingly strong. The **S&P Global Flash PMI** for the U.S. rose to a **Composite index of 54.8** (from 53.9 in September) ²⁷, marking the highest reading since July and one of the highest in over three years ²⁷. This indicates **solid expansion** – indeed, this PMI level corresponds to roughly a **2.5% annualized GDP growth** rate at the start of Q4 ²⁸. The breakdown showed **services** leading the way: the Services PMI hit its fastest expansion since July, as **domestic demand for services improved** and new orders rose at the steepest rate of 2025 ²⁹. **Manufacturing** PMI also edged up (52.2 from 52.0), with production growing for a fifth straight month ³⁰. However, one weak spot was **export orders** – new export business fell sharply, the steepest drop since February, as companies reported falling foreign demand (blamed in part on tariffs and slower overseas economies) ³¹. Despite that, backlogs of work fell and inventories rose, suggesting factories are keeping output high. A noteworthy aspect of the PMI report was on prices: **input cost inflation** remained elevated, “principally reflecting the pass-through of tariffs,” and service sector costs rose at

the fastest in 3 months due to wages ³² . But firms were **unable to fully pass on these costs – output prices (prices charged) rose at the slowest rate since April** ³³ . In fact, service-sector price inflation eased sharply to a 6-month low, as companies competed for sales ³⁴ , and goods price inflation, while up a bit, remained softer than earlier in the year ³⁴ . This **margin squeeze** suggests that while tariffs and wages are still pushing costs up, demand constraints are forcing businesses to absorb more of those costs – effectively helping to **cool inflation** for consumers. Another element was **business confidence**: it deteriorated, with future output expectations falling to one of the lowest levels in 3 years ³⁵ . Manufacturers' optimism sank on concerns about tariffs and high inventories, and service providers were wary of policy uncertainties (the recent government shutdown, etc.) ³⁵ . In summary, the October PMI shows a U.S. economy that, at least through mid-month, is **maintaining robust growth momentum** – far from sliding into recession – even as **price pressures continue to moderate**. This combo (strong growth + cooling inflation) is essentially a dream scenario for markets. The **implication** is that the Fed has more room to cut rates without risking an overheating economy, and that corporate earnings can stay strong. The only cautionary note is the dip in business sentiment, which bears watching (ongoing trade disputes and political uncertainty could be weighing on outlook). But for now, **demand is healthy** – especially at home – and the PMI data helped reinforce the upbeat sentiment in equities. Investors took the strong PMI in stride; if anything, it added to the sense that the economy can handle the Fed's upcoming rate cuts.

Geopolitical Developments and Market Impact

U.S.-China Trade Thaw Hopes: A major theme in late October was a potential easing of U.S.-China trade tensions, driven by signals from President Trump and his administration. President Trump struck a **conciliatory tone on China** ahead of his planned meeting with President Xi Jinping at the APEC summit in South Korea (scheduled for early November). After years of escalating tariffs, Trump surprised observers by expressing optimism for a deal: he said he **expects to reach a “fantastic” trade deal with Xi** ³⁶ , and even acknowledged that China's economy was hurting – commenting that the current high tariffs were “not sustainable” for Beijing ³⁷ . He indicated both sides may need to make concessions and voiced willingness to pursue a **“comprehensive” agreement covering tariffs and issues like fentanyl trafficking** ³⁸ . Just weeks prior, Trump had been threatening to double down with 100% tariffs on all Chinese goods by Nov. 1 if China didn't lift its export curbs on rare earths ³⁹ , so this marked a notable softening in rhetoric. Markets reacted swiftly to these diplomatic overtures. For example, on Friday Oct. 17, when Trump **confirmed he will meet Xi** and expressed admiration for the Chinese leader, and Treasury Secretary Scott Bessent announced new trade talks with China's Vice Premier, stocks reversed early losses and climbed by afternoon ⁴⁰ . The prospect of a truce in the trade war – or at least a pause on further tariff escalation – **helped stem Wall Street's losses** that day ⁴¹ . In fact, major indexes, which had been rattled by the abrupt tariff moves earlier in the month, ended that week higher partly due to trade optimism.

Trump and Treasury Secretary Bessent on Tariffs: Treasury Secretary **Scott Bessent** reinforced the de-escalation narrative. In a speech, Bessent stated that the U.S.-China **tariff showdown is “unsustainable”** and that he expects a “de-escalation” in the trade war between the world's two largest economies ⁴² . Importantly, news of Bessent's remarks (initially reported via a Bloomberg piece) had an immediate market impact: the S&P 500 **surged 2.5%** after those comments became public ⁴³ , as traders anticipated that the tariff pressures on the economy would soon ease. Bessent also took action by engaging directly with Chinese officials – he held a video call with Vice Premier He Lifeng and then announced an in-person meeting in Malaysia to continue talks ⁴⁴ . This was aimed at **forestalling a scheduled U.S. tariff hike**. (Trump had threatened to impose the 100% tariffs on Nov. 1 in retaliation for China's new rare-earth export restrictions

⁴⁵ , but Bessent’s negotiations sought to defuse this.) The administration’s tone shifted from confrontation to problem-solving: Trump himself remarked on Oct. 18 that “China wants to talk, and we like talking to China,” and even said “we’re going to be fine with China... we have to have a fair deal” ⁴⁶ . This **softening in tone and affirmation of the Xi meeting** materially boosted market sentiment – it “helped stem Wall Street’s early losses” and turned them into gains, with equities rallying that Friday ⁴¹ . Trade-sensitive sectors (semiconductors, industrials, agriculture) gained on hopes that some tariffs might be rolled back or that no new tariffs would hit.

In summary, by late October the market was increasingly factoring in a **potential thaw in U.S.-China relations**. Trump’s decision to meet Xi at APEC – after months of tit-for-tat tariff moves – and comments like calling a truce “fantastic” ³⁶ signaled a possible pivot from further escalation to negotiation. Likewise, Secretary Bessent’s behind-the-scenes diplomacy and frank admission that neither side can sustain the trade war ⁴² gave investors confidence that a tariff rollback or pause could be imminent. This was a marked shift from just a few weeks earlier, when an escalation seemed more likely. The result was a positive feedback loop for markets: easing trade fears fed into rising stock prices, which in turn likely emboldened the Trump administration to pursue a deal. Of course, risks remain – trade negotiations are unpredictable. But for now, **geopolitical winds were blowing in a market-friendly direction**, contributing to the year-end rally.

It’s also worth noting **why** these trade developments mattered so much to inflation and Fed policy: the U.S. tariffs (and Chinese counter-tariffs) had been adding to inflation (e.g. raising import prices for goods). With inflation now cooling, the prospect of tariff relief strengthens the disinflation trend. Bessent even urged the IMF and World Bank to press China on economic reforms while also criticizing China’s export curbs ⁴⁷ – a nuanced approach pairing toughness with negotiation. The **WTO** chimed in as well, warning that a decoupling of the U.S. and China could cut global output by 7% and urging de-escalation ⁴⁸ . All this set the stage for the upcoming APEC meeting as a crucial event.

In sum, **markets have responded very positively to the recent U.S.-China trade overtures**. Stocks rallied, risk premia fell, and even the bond market took comfort (lower tariffs would mean lower prices, reinforcing the inflation cooldown). By the end of Oct. 24, the consensus on Wall Street was that a trade truce was likely. Indeed, probability markets showed a 97% chance of a Fed rate cut in October **specifically because** the inflation outlook improved with cooling prices and easing trade tensions ⁴⁹ . Investors are now keenly watching the APEC summit (mid-next week) for any concrete announcement – such as a deal on reducing some tariffs in exchange for Chinese concessions on fentanyl precursors and soybean purchases ⁵⁰ ⁵¹ . A successful Trump-Xi meeting could further lift equities (especially those with China exposure), while any disappointment or renewed hardline stance could inject volatility. But as of this week, the **geopolitical trajectory** – less tariff risk, more dialogue – has been a tailwind for the U.S. stock market.

US Market Outlook (Week of Oct 27–31, 2025)

Looking ahead to the week of Oct 27–31, investors face a loaded calendar of market-moving events. The focus will shift to **policy decisions and Big Tech earnings**. Here’s an outlook on what to watch:

Federal Reserve FOMC Meeting (Oct 29): The marquee event will be the Fed’s policy announcement on Wednesday. **Markets overwhelmingly expect the Fed to cut interest rates by 25 basis points**, which would bring the target fed funds range down to 3.75–4.00% ⁵² . In fact, in a Reuters poll 115 of 117 economists predicted a quarter-point cut at this meeting ⁵² . Futures markets are pricing essentially a 100% probability

of a cut, especially after the benign CPI data – an outcome seen as virtually assured ²⁶ . There is some debate about whether the Fed might even consider a larger **50 bp cut**, given inflation's faster-than-expected drop to 3.0%. However, such a move would be a big surprise – the Fed tends to move in steady increments unless facing a crisis. The base case is a **0.25% cut**, the second consecutive cut (following one in September).

What will matter for markets is **Chair Jerome Powell's tone** and guidance. Investors will parse the FOMC statement and Powell's press conference for clues on future rate moves. With the economy still growing solidly and core inflation at 3%, the Fed could take one of two approaches: (1) **signal a pause** after this cut – essentially a “one and done (for now)” if they want to proceed cautiously, or (2) keep an easing bias, indicating that **another cut in December** is on the table if data permit. Currently, a majority of economists (83 of 117 in that poll) believe the Fed will cut twice more this year (October and December) ⁵³ , while a minority think this October cut will be the last of 2025. Powell will likely emphasize that policy is not on a preset course. But given the data, he may hint that the Fed can afford to be accommodative.

Market consensus leans toward the Fed **maintaining a dovish bias**. Powell might acknowledge the “welcome decline” in inflation and note that financial conditions (higher stock prices, lower yields) have eased somewhat – effectively doing some of the Fed's work. However, he will also likely mention that core inflation at 3% is still above target and the Fed remains vigilant. If he stresses concerns (e.g. wage growth or geopolitics), it could temper rate-cut expectations. Conversely, if he focuses on downside risks and the desire to “sustain the expansion,” that will be read as validation of more cuts. It's notable that some Fed officials have hinted they want to get rates closer to neutral relatively quickly now. The **risk to markets** would be if the Fed didn't cut or delivered a very hawkish message – but that's seen as unlikely in light of the CPI. Overall, expect a **25 bp cut and a generally dovish message**, with Powell carefully balancing acknowledgement of better inflation against the need to ensure it returns to 2%. Equities typically would applaud a cut; one near-term question is whether the Fed also ends quantitative tightening (QT) – some analysts think they might signal an end to balance sheet runoff to further support liquidity ⁵⁴ . Any such signal would be icing on the cake for bulls. In any case, **the Fed decision is poised to be a positive catalyst** unless Powell unexpectedly pours cold water on hopes of an ongoing cutting cycle. Right now, markets anticipate at least one more 25 bp cut in December – Powell's comments will either confirm or challenge that. Keep an eye on the phrase “appropriate policy path” and how the Fed assesses the impact of past tightening; a recognition that policy lags are substantial could imply they're inclined to ease more. With futures pricing the **Fed's terminal rate** for this cycle around 3.5% by early 2026 ⁵⁵ , any deviation in Powell's outlook could move bonds and stocks significantly.

Q3 GDP (advance estimate, Oct 30): On Thursday, the Commerce Department will release the initial estimate of **Q3 2025 GDP growth**. This report will be closely watched as a barometer of the economy's momentum heading into Q4. Expectations are fairly high – **consensus forecasts GDP growth around +3.0% (annualized)** for Q3 ⁵⁶ . Some estimates are even a bit higher; for instance, prediction markets (Kalshi) peg growth at ~3.3% ⁵⁷ , and the Atlanta Fed's GDPNow model was tracking roughly ~3.8–4% in mid-October ⁵⁸ . If confirmed, ~3%+ growth would underscore the **remarkable resilience** of the economy in the face of Fed tightening.

What's driving Q3 growth? Likely continued strength in **consumer spending**, especially on services (travel, dining, entertainment) and a rebound in goods spending (helped by cooling inflation). Consumption may have grown ~3–4% in Q3, contributing the bulk of GDP gains. **Business investment** is a wild card – equipment spending has been soft, but structures investment (factories, infrastructure) and intellectual property (R&D, software) have been strong, partly due to the AI boom and federal incentives. **Residential investment**

(housing) probably remained a drag, though slightly smaller as homebuilding showed hints of stabilization. **Net exports** could weigh on GDP, as imports rose on consumer demand and exports faced global softness. And **inventories** might have contributed positively: there was some inventory rebuilding in Q3 after big drawdowns prior (some of this was “front-loading” inventory before tariffs, which boosted Q2 and may have normalized in Q3) ⁵⁹. Government spending also likely added modestly (particularly at the state/local level).

For markets, a GDP number in-line with forecasts (~3%) would reinforce the soft-landing narrative – strong growth with falling inflation. Paradoxically, stocks might react more to any surprise in GDP: if it’s **much stronger** (say 4%+), that could raise questions about the Fed’s need to cut rates aggressively (too hot economy) – bonds might sell off on such a surprise. If it’s **weaker** (say under 2%), recession whispers might return, or investors may worry that high rates finally bit into growth. The baseline, however, is that Q3 was a robust quarter. Notably, we already have a hint: the PMI surveys suggested ~2.5% growth in Q3 and accelerating into Q4 ⁶⁰. So anything in the 2.5–3.5% range likely keeps investors content. Given that the Fed will have made its decision by the time GDP is released, a solid GDP report would mostly serve to **boost earnings confidence** (good for cyclicals). It’s also the first report that will show the economy’s full response to the summer’s 7% mortgage rates and the post-student-loan-restart environment. Thus far, data implies consumers kept spending by dipping into savings or earning more.

The **likely market reaction**: if GDP meets or slightly exceeds expectations, equities could tick higher, led by cyclical sectors (financials, industrials) that benefit from growth, and yields might rise a touch on the prospect of no recession – but given the Fed cut coming, yields are somewhat anchored. If GDP wildly beats (e.g. ~5%, which is not expected), the market might briefly worry the Fed did too little – but again, inflation is the focus and it’s falling, so the Fed may “look through” a one-quarter spurt. Conversely, a big miss (sub-2%) would increase bets on further Fed easing, potentially lifting bond prices, but might dent stock sentiment (especially for earnings outlook of cyclicals). On balance, the most probable outcome is a confirmation that the economy is **growing steadily ~3%**, which would be taken as **good news for corporate earnings** and further evidence that 2025 can deliver decent growth with lower inflation – essentially the Goldilocks scenario.

Core PCE Price Index (Sept, to be released Oct 31): Rounding out the week, Friday will bring the Fed’s preferred inflation gauge – the **Core PCE** (personal consumption expenditures) price index for September. This report, part of the income and spending data, is expected to mirror the CPI’s encouraging trends. **Consensus expects core PCE inflation around +2.9% YoY** for September, roughly steady from 2.9% in August ⁶¹. On a month-to-month basis, forecasts are for a modest ~0.2% increase in core PCE prices. If those numbers come in as expected, it will confirm that core inflation has **broken decisively below 3%** on a year-over-year basis – a huge improvement from the ~5% core PCE rate of a year ago. In fact, the Fed’s last Summary of Projections (Sep) had officials forecasting core PCE at 3.0% in Q4 2025; we are on track to beat that.

Investors will dissect which components are driving PCE. Often PCE (which weights health care differently and captures substitution effects) runs a bit cooler than CPI. For instance, core PCE was 2.9% in Aug vs core CPI 4.1% (different base), and likely stayed ~2.9% in Sept while core CPI was 4.1% (CPI and PCE have formula differences). If we see **core goods prices negative** and **core services decelerating**, that would underscore a broad-based easing of inflation. Already, trimmed-mean measures (Dallas Fed) show underlying inflation around 2.7% ⁶². It’s expected that **core PCE will come in at 2.9% YoY** (with headline PCE maybe ~3.1% YoY due to energy). A small surprise is possible: the Cleveland Fed’s nowcast as of Oct 24 projected September PCE at +0.19% MoM and core PCE +0.23% MoM ⁶³, which annualized is ~2.8% – very much in line.

For markets, the **Core PCE print will be another confirmation** of the disinflation trend. Given it's released after the Fed meeting, its immediate impact might be lessened (especially if the Fed has already cut rates). However, it could influence expectations for **future Fed moves** (like the December meeting). If core PCE comes in a tick lower (say 2.7–2.8% YoY), that would be taken as bullish for bonds and stocks, reinforcing that inflation is headed to target. It might even raise talk that the Fed could consider a larger Dec cut or that the cutting cycle can extend further in 2026. If it's a tick higher (say 3.1% YoY), markets might shrug it off given the CPI was fine – unless there's an unfavorable mix (e.g. an unexpected rise in core services). But generally, **expectations are that PCE will match the cooling seen in CPI**, showing price growth back near pre-pandemic norms. Investors will also watch **consumer spending data** in that report – forecasts are for real consumer spending to have risen ~0.5% in Sept, capping a strong Q3, but with some slowdown into early Q4. Any signs of consumer fatigue could factor into Q4 earnings outlooks.

Overall, barring a shock, the **core PCE release should underscore that inflation is no longer the market's primary worry**. Instead, focus is shifting to growth and earnings. A benign PCE will give the Fed further cover to maintain a dovish bias. Equities, which have been rallying on the back of lower yields from reduced inflation fears, would welcome such news. And importantly, if core PCE is indeed sub-3%, the Fed will have essentially achieved a soft landing (inflation down without a recession) – a significant positive narrative for markets heading into year-end.

Big Earnings on Deck: Next week also brings an avalanche of high-profile earnings, particularly from Big Tech and other heavyweights. This could easily steal the market's attention, as five of the "Magnificent Seven" tech giants report, alongside several companies sensitive to macro trends. Here we break down two categories: **(a) Inflation-sensitive stocks** and **(b) AI-focused big tech**, with what to expect for each:

Inflation-Sensitive Stocks (UPS, BE, V, VZ, CVS, CVNA, CVX):

- **UPS (United Parcel Service):** The package delivery bellwether reports Tuesday, and it's a crucial read on consumer and business activity. **Analysts expect a weak quarter** – consensus EPS is about **\$1.31**, which is **-25% YoY**, on revenue of ~\$20.8 billion (-6% YoY) ⁶⁴ ⁶⁵ . UPS's volume was hit by its summer Teamsters labor dispute (some customers diverted shipments), and it faces higher labor costs now under the new contract. The company already lowered guidance earlier, so the bar is set relatively low. **Whisper numbers** suggest UPS might beat EPS by a few cents given strong cost discipline in September, but it's not expected to be a blowout. Key to watch will be **holiday season commentary** – if UPS sees e-commerce demand picking up and can impose peak surcharges, that bodes well. Institutional sentiment on UPS has been cautious; the stock lagged after the labor deal due to margin concerns. However, FedEx's upbeat results last month (FedEx stock jumped after an earnings beat and raised outlook) indicate that the parcel industry is managing costs better than feared. If UPS echoes FedEx in pointing to improved efficiency and stable pricing, investors could react positively. Also, any color on **delivery volume trends** (perhaps e-commerce volumes stabilizing as inflation eases) will be closely parsed. In short, UPS is sensitive to both consumer spending and inflation: high inflation in the past year hurt its volumes and raised its costs, but now with inflation easing and consumers still spending, UPS could see better times ahead. A solid report or optimistic forecast from UPS would reinforce that narrative. Conversely, if UPS disappoints or guides cautiously (say, citing macro weakness or continued volume softness), it could spark worries about the consumer going into the holidays.

- **Bloom Energy (BE):** Bloom Energy, a maker of fuel cell systems (clean energy technology), reports on Tuesday as well. It's considered inflation-sensitive because its fortunes are tied to energy prices and to companies' capital spending (which can be curbed by high interest rates/inflation). The company has been growing quickly – **consensus expects Q3 revenue around \$425–430 million, + ~29% YoY**, with strong demand for its solid-oxide fuel cells in data centers and utilities ⁶⁶. On earnings, Bloom has been near breakeven; the street's EPS estimate is roughly **~\$0.03** (a small loss), though some models on an adjusted basis foresee a slight profit (~\$0.0–\$0.10 range) ⁶⁷ ⁶⁶. Last quarter Bloom surprised with a **\$0.10 profit** (non-GAAP) and raised full-year guidance, and the stock has rallied since. **Institutional sentiment** is positive – analysts highlight Bloom as a beneficiary of the IRA (clean energy incentives) and note easing supply chain costs (lower inflation in components) which could boost margins. **Whisper** expectation leans toward Bloom delivering at least breakeven EPS again and perhaps upping its outlook. One expert forecast sees FY25 revenue of \$1.65–1.85B (Bloom guided that higher mid-year) ⁶⁸. For the stock, which is volatile, key will be gross margin improvement and new project bookings. Because Bloom's products help customers reduce carbon emissions and energy costs, **high conventional energy prices** actually bolster its case – but if oil/natgas prices fall, some customers might delay purchases. Fortunately for Bloom, natural gas (which its fuel cells use) prices have been moderate, and its value prop is more about reliability and carbon. **Inflation trends:** earlier this year, cost inflation hurt Bloom's margins (commodity and freight costs), but those have eased notably. If Bloom shows margins expanding now that inflation is down, that's a strong positive signal. Overall, expect **robust growth numbers** and watch for any commentary on 2026 demand; the market will reward confirmation that Bloom can grow ~20%+ with improving profitability as inflation pressures abate.

- **Visa (V):** Payments giant Visa reports its fiscal Q4 (Jul–Sep quarter) on Wednesday. Visa is very **sensitive to consumer spending and global travel**, both of which have been influenced by inflation. The good news: with inflation cooling and real incomes rising, spending has held up. **Analysts forecast Visa to post about \$10.6 billion in revenue (+11% YoY)** and EPS of roughly **\$2.96** ⁶⁹ (up from \$2.23 a year ago – a big jump partly due to a one-time loss last year). Payments volume likely grew high-single-digits, with **credit card spending strong** and **cross-border travel** spending a notable driver (as international travel continued rebounding post-COVID). **Institutional sentiment** on Visa is bullish; the stock hit all-time highs recently. Many on the street see upside as secular trends (cash-to-card) persist and as **tariff tensions ease** (reducing uncertainty for global commerce). A **whisper number** for EPS is around \$3.00–3.05, as Visa often beats by a few cents. Key things to watch: **cross-border volumes** (especially into Europe/US from Asia – Chinese tourism etc.), any impact from the strong dollar in September, and **expense guidance** (Visa has been investing in new network capabilities and AI fraud prevention, but expense growth is monitored). Also, credit metrics: with interest rates high, are card delinquencies up? So far, data shows only a mild uptick. If Visa reports healthy numbers and strikes an upbeat tone – e.g. “consumer spending remains resilient” – it bodes well not just for Visa but for the whole consumer sector. Conversely, if they caution that spending growth is slowing (perhaps due to student loan repayments restarting or consumers feeling past inflation's pinch), that could be a warning sign. However, given **expected revenue growth >10% and likely an optimistic FY2026 outlook**, the base case is **Visa will reinforce the narrative of robust consumer demand in a disinflationary environment**. Notably, any commentary on **inflation** itself: previously, high inflation boosted Visa's nominal volumes (people paying higher prices meant bigger transaction values), but now as inflation falls, volume growth in real terms may slow a bit in nominal terms. We'll see if Visa mentions this dynamic. Overall, expect a **solid report** – Visa's results should exemplify how moderating inflation + strong labor market = continued strong spending.

- **Verizon (VZ):** The telecom giant reports on Oct 29. Verizon's core wireless business can be sensitive to consumers' discretionary income (inflation squeezes budgets) and to its own costs (it's a big capital spender and pays high interest on debt). The **street expects Q3 earnings about \$1.19/share** (flat YoY) and revenue around **\$34.2 billion (+2-3% YoY)** ⁷⁰. This implies Verizon's wireless service revenues are growing modestly – likely via price increases and higher fees, since subscriber growth has been slow. In fact, Verizon has been losing share to T-Mobile in recent quarters. However, **recent peer reports** give hope: AT&T, which reported just days ago, beat estimates and added more wireless subs than expected, suggesting the industry isn't in a price war and that subscriber demand is fine. Verizon's stock jumped ~9% after AT&T's report, pricing in similar good news. **Whisper numbers** have Verizon slightly above consensus, maybe \$1.21 EPS, as cost-cutting (they've been reducing staff and expenses) may bolster the bottom line. The **institutional sentiment** on Verizon has been cautious-to-bearish (the stock trades at a high dividend yield ~8%, reflecting concerns about growth and debt). Any positive surprise on subscriber adds (or churn improvement) would be significant. Also crucial: **guidance or outlook** – Verizon might update its full-year free cash flow outlook, which investors watch to ensure the dividend is safe. If cooling inflation is helping Verizon, we'd expect to hear that customer payment trends are stable (in high-inflation times, telecoms worried about bill payments, but now that pressure is easing). Additionally, inflation in **labor and equipment** has been an issue (5G rollout costs, etc.); Verizon may highlight that network build costs are coming down. The company might also discuss the impact of higher interest rates on its debt (less directly an inflation story, but related). In summary, **Verizon's report will indicate how the average consumer and business are handling their phone/internet bills**. A stable report with no negative surprises (and maybe a reaffirmed outlook) could send Verizon shares higher, given low expectations. If, however, Verizon disappoints – say, loses phone subscribers or has to increase promotions – it could reignite worries of a telecom price war and consumer belt-tightening. Considering inflation's decline, many expect **telecom bills** to be one area where competition, not inflation, dictates pricing now. Verizon's pricing power (they raised some plan prices last year due to inflation) will be in focus. Overall, expect a steady but unspectacular quarter from Verizon, likely confirming that while growth is hard to come by in a saturated market, **inflation is no longer eroding margins** as it was when fuel, labor, and equipment costs were soaring.

- **CVS Health (CVS):** The pharmacy and health insurance giant reports Wednesday. CVS is an interesting mix of a retailer (pharmacies), a healthcare provider (Aetna insurance, pharmacy benefits, clinics), and is often seen as a defensive stock. **Consensus calls for Q3 EPS of ~\$1.36** (which would be **+24% YoY**, though last year had charges) and revenue of **about \$98.3 billion (+3% YoY)** ⁷¹. CVS's last quarter was strong – it beat estimates and raised its full-year EPS guidance to \$6.30–6.40 ⁷². Now, one big topic is **medical cost inflation**: in Q2, many health insurers saw higher costs due to an explosion in new weight-loss (GLP-1) prescriptions and pent-up surgical demand. UnitedHealth and others indicated that trend leveled off late in Q3, but investors will want to see how CVS's Aetna unit fared. If **inflation in healthcare utilization** is pushing costs up, it could pressure CVS's insurance margins. So far, CVS said it expected such costs and maintained guidance. **Pharmacy segment:** With US drug price inflation relatively modest (and some deflation in generics), CVS's retail pharmacies likely saw continued script volume growth (flu vaccines, new obesity drugs, etc.) and benefited from easing wage pressures (they raised pharmacy tech pay last year amid labor shortages, but that's stabilized). Front-store retail sales (OTC meds, health & beauty) could be roughly flat – lower inflation in consumer goods means smaller ticket sizes, but unit demand is steady. **Whisper sentiment:** many expect CVS to beat the \$1.36 EPS (maybe come in around \$1.40) because the company has been executing well on cost synergies from its acquisitions (Signify Health,

Oak Street Health). CVS also recently announced it will pause share buybacks to focus on debt reduction – investors like debt paydown in a high-rate world. **Institutional sentiment** on CVS is mixed-positive; the stock is down this year, making valuation attractive if earnings stabilize. Pay attention to CVS's commentary on **consumer health trends** – are people visiting MinuteClinics more or less? How is the cold/flu season starting? Also, any update on the **GLP-1 weight-loss drugs** impact: CVS may discuss how many prescriptions it's filling (good for pharmacy revenue) versus how those drugs raise medical claim costs (bad for insurance). Interestingly, GLP-1 drugs can also cut longer-term healthcare costs (fewer diabetes complications), a point CVS might raise. If inflation is easing broadly, one might expect **CVS's front-store sales to improve in real terms** (consumers can afford more non-essential health items). Also, **lower fuel prices** help CVS's logistics for distribution. Expect CVS to strike a “**steady as she goes**” tone, likely reiterating its (already raised) outlook – some analysts think they'll hit the high end of guidance given strong execution. If they were to raise guidance again, that would be a very bullish surprise. In short, CVS should demonstrate how a diversified healthcare company is navigating the post-inflation peak environment: moderate growth, improving margins on retail due to easing cost inflation, and manageable medical cost trends. A solid report could help lift healthcare stocks, which have underperformed this year.

- **Carvana (CVNA):** The online used-car retailer has been a high-flyer (and highly volatile) stock, emblematic of pandemic winners that later struggled. Remarkably, Carvana is expected to **report an actual profit** this quarter – a testament to its aggressive cost cuts and the stabilization of the used car market. **Analysts forecast Q3 EPS around +\$1.30 to +\$1.35** (versus a -\$2.67 loss a year ago), on revenue of roughly \$2.7 billion (down about 17% YoY, as Carvana sold fewer cars but at higher profit per car) ⁷³. Carvana has already preannounced certain metrics: it guided for positive adjusted EBITDA and has significantly improved its gross profit per unit (GPU) by focusing on higher-margin sales and trimming expenses. **Institutional sentiment** on Carvana remains divided – some see a successful turnaround (the stock is up over 700% from its December 2024 lows), while others warn it's overvalued and the used-car environment could soften. **Whisper numbers** lean bullish: some analysts (e.g. William Blair) have raised their EPS estimates to around **\$1.49** ⁷⁴, and there's buzz that Carvana may beat the \$1.33 consensus given how strong used car prices were in early Q3. The **key driver** has been Carvana's GPU (gross profit per unit) which topped \$6,000 last quarter – a record – thanks to a combination of car prices staying firm and Carvana's own cost efficiencies in reconditioning and SG&A. However, note that **used car price inflation** actually peaked in Q2 and then fell in Q3. September's Manheim used vehicle index was down ~8% YoY. So Carvana may face slightly lower selling prices going forward, which could compress margins unless they cut costs further. We'll see if management addresses that (likely they'll highlight continued efficiency and perhaps volume growth returning). For Q3 though, pricing was still favorable year-on-year. **Market impact:** Carvana is somewhat unique, but as a consumer-facing company in an interest-rate-sensitive sector (auto sales), its surprise return to profitability would underscore how drastically conditions have improved from when inflation was raging. Last year, skyrocketing used car prices and rising interest rates hurt Carvana's affordability proposition; now, with prices off peak and the company's financing secured (they restructured debt in Q2), Carvana can thrive even at lower sales volumes. If Carvana reports a solid profit and optimistic outlook (maybe forecasting sustained positive EBITDA and GPU), its stock could jump – and it might even buoy other e-commerce or auto-related names by signaling that **consumer demand for big-ticket goods hasn't collapsed**. Conversely, any stumble (say, a surprise loss or cautious outlook that used car demand is weakening as inflation and rates weighed on buyers) could hit the stock hard and raise questions about consumer strength. Given macro trends, Carvana's likely to tell a positive story: they recently noted that 86% of their Q3 retail customers financed

through Carvana – an interesting stat showing people are still buying cars, though likely stretching loans longer. Watch for any commentary on **interest rates' impact** on sales: Carvana might mention that higher borrowing costs are a headwind, but so far they've navigated it by targeting more creditworthy buyers. All in all, expect **Carvana to highlight its successful adaptation to the post-inflation world** – leaner operations and still-healthy demand for cars – which allows it to finally make money.

- **Chevron (CVX):** Big Oil steps into the spotlight Friday with Chevron's report (though note: Chevron pre-announced a major acquisition of Hess Corp this week, which may dominate discussion). For Q3, **Chevron's earnings are set to decline sharply from a year ago** due to much lower oil and gas prices compared to Q3 2024. Consensus EPS is around **\\$1.65–1.70** (vs \$5.56 a year ago when energy prices were at post-invasion highs) ⁷⁵. Revenue is expected around **\\$45 billion** (down from \$66B a year prior). The **good news** is that oil prices rose through Q3 – averaging ~\$85 for Brent in September vs ~\$75 in June – and natural gas prices were relatively stable. Chevron also had some one-off issues: its production in Q3 might be slightly down due to maintenance in Australia LNG facilities (which also saw strikes that were resolved). The company already indicated that downstream (refining) margins were weaker in Q3, which could drag results. However, **Chevron tends to manage analyst expectations well**, so a modest beat on EPS is possible if cost controls or trading results were good. Investors will be even more interested in **guidance and capital plans**. With the Hess acquisition announced (a \$53B deal), Chevron signaled confidence in long-term oil demand. They may speak to how current prices (Brent ~\$90 now) bolster their cash flow. **Institutional sentiment** on oil majors has improved recently as oil prices climbed; Chevron shares are off highs, partly due to the dilutive Hess deal short-term, but many see it as a savvy strategic move. **Inflation's impact:** For Chevron, inflation mainly hits through higher operating costs (equipment, labor) and to some extent through the price of oil itself (oil selling price is the ultimate "inflation" factor for an oil producer). Over 2024–25, oilfield service costs did jump (drilling rigs, etc.), but Chevron has indicated those are plateauing. A key metric will be Chevron's **capital spending** – are they having to spend more due to cost inflation or are projects on budget? Also, any changes to shareholder returns (dividends/buybacks) will matter; Chevron has a hefty buyback running. The **market reaction** will hinge on how Chevron frames the current environment: If they emphasize that even at \$80 oil they generate massive free cash (and Hess will boost that) and that cost inflation in their industry is slowing, investors will be pleased. If, however, they note any **demand weakness** (e.g. in fuels) or issues like higher royalty/tax costs, it could weigh on sentiment. Given that Exxon reports the same day, the two will likely set a tone for energy stocks. Geopolitically, the Israel-Gaza conflict has introduced some risk premium into oil; Chevron might get questions on that but likely will say it hasn't impacted operations (their Israel gas field was shut as precaution but it's small for them). They might also talk about how tariffs (for instance on steel) have affected them – perhaps not much now. Overall, expect Chevron's Q3 to reflect the **comedown in commodity inflation** – profits way down from the peaks, but still solid historically. Last year's windfall is gone, but this year's stability is, in a way, a return to normal. Investors will focus on the forward-looking: the Hess deal suggests Chevron is betting on sustained oil demand and stable prices. If Chevron strikes an upbeat tone on oil markets (perhaps citing improving China demand or OPEC discipline) and keeps capital discipline (not overspending even as inflation in oilfield costs eases), its stock should react well.

AI-Focused Big Tech Earnings (META, MSFT, GOOGL, AMZN, AAPL, CLS): It's an **"Big Tech bonanza"** next week – these five companies alone account for ~\$9 trillion in market cap, so their results could sway the

entire market. The common thread is AI: investors are keen to see how AI investments and products are contributing to growth. Here's what to watch for each:

- **Meta Platforms (META):** Facebook's parent reports Wednesday. Meta has been on a tear this year thanks to a return to revenue growth and its aggressive efficiency moves ("year of efficiency"). **Analysts expect META to post about \$49-50 billion in revenue (+21% YoY)** and a whopping **EPS of ~\$7.30** ⁷⁶ ⁷⁷. (Meta has had some one-time gains that boost EPS; on an adjusted basis it's slightly lower, but still very strong growth from \$5.66 a year ago.) The big drivers: **digital ad spending** has rebounded, and Meta's ad targeting has improved post-Apple iOS changes. Also, Meta's user growth and engagement (especially on Instagram and emerging platforms like Threads) remain solid. Critically, Meta's investments in AI – for recommending content and for ad tools – have improved monetization (e.g. better Reels monetization through AI-driven recommendations). Wall Street is looking for commentary on Reels vs TikTok, on the rollout of AI chatbots/assistants on Facebook/WhatsApp, and on the metaverse (though Meta has toned down metaverse hype to focus more on AI lately). **Whisper numbers** suggest Meta could beat on revenue (perhaps hit \$50B+) given strong Q3 ad spend trends (some ad agencies indicated double-digit growth). Bank of America analysts in fact predict a beat: they expect \$50.0B revenue vs \$49.5B consensus and EPS \$7.30 vs \$6.69 consensus ⁷⁸ ⁷⁹. They cite an improving macro environment, accelerating AI ad tools adoption, and **higher ad prices**. Meta's cost discipline is also key – last year's big staff cuts mean operating margins likely expanded significantly this quarter. **Institutional sentiment** is very bullish (most analysts have Buy ratings). The stock did dip after last quarter on cautious expense guidance for 2026 (heavy AI spending), so investors will listen for any update to capex plans. If Meta hints at **leaner 2026 spending or continued share buybacks**, that would be a positive catalyst. Conversely, if they signal a need to ramp metaverse/AI investment even more, some might cringe at the expense. On inflation: Meta's ad revenue benefitted when inflation was high because advertisers had to spend more to chase consumers, but also some ad budgets were cut by inflation-sensitive firms. Now with inflation easing, ad budgets have stabilized and even grown for many sectors (e.g. travel, retail). That's helping Meta. Additionally, lower inflation means Meta's own costs (like salaries, infrastructure) aren't rising as fast, aiding margins. Expect Meta to highlight strong demand from advertisers across sectors, and likely mention how AI is driving better returns on ad spend. The **key metric** to watch is Family of Apps ad revenue growth (was +12% last quarter, expected ~20% this quarter) and Reality Labs losses (still large, but possibly less of a focus now). If Meta delivers on the top line and provides confident commentary (and maybe a Q4 revenue outlook above street's ~17% growth estimate), the stock could pop higher. It's already up ~150% YTD, so expectations are high, but Meta has shown a habit of **outperforming** in recent quarters.
- **Microsoft (MSFT):** Microsoft reports Tuesday afternoon. As one of the first of the "Mag 7" to report, it will set the tone. **Analysts are looking for around \$64.5 billion in revenue (+15% YoY)** and **EPS of \$3.11** ⁸⁰. This would mark an acceleration from last quarter's 8% growth – largely thanks to the inclusion of Activision Blizzard in the numbers (the acquisition closed in early October, so note Q3 might not include it yet – actually Activision will only contribute in future quarters). The growth is broad-based: Azure cloud revenue is expected to grow ~25-27% (slightly up from 26% last quarter as AI services sales kick in), Office 365 and server products ~12-15%, LinkedIn ~mid-single digits, and Windows & Devices returning to growth (PC market stabilized, maybe +3-5%). Microsoft has been at the forefront of the AI wave, integrating AI "Copilot" features into Office and Windows and selling cloud AI services (like Azure OpenAI). Investors will want an update on **AI monetization**: e.g., how many early bookings for Copilot (which is a ~\$30/user add-on for enterprise Office)? What's the

demand for Azure AI infrastructure from enterprises? Early indications are robust – Satya Nadella said in September MSFT has \$110B in Azure backlog, much of it AI-related. **Institutional sentiment** is very positive; Microsoft’s stock is near record highs. **Whisper** expectations: Microsoft tends to guide cautiously then beat. Some think Azure could surprise on the upside (perhaps topping 28% growth) due to AI workloads – recall, management guided Q3 Azure growth to pick up “1 point” from Q2’s rate, so about 27%, but if it came in a few points higher, that would be huge. On EPS, Microsoft might beat by ~\$0.10 if margins were strong (the street sees operating margins ~45%, up year-on-year due to slower hiring). One potential swing factor: foreign exchange – the dollar strengthened late Q3, which could be a slight headwind. However, Microsoft had hedges and pricing adjustments. **Inflation context:** Microsoft isn’t very exposed to consumer price inflation, but it benefited from **wage inflation cooling** in tech (tech labor costs have stabilized after the big tech layoffs earlier this year). Also, hardware components for its devices and data centers have seen lower inflation or deflation (memory chip prices, etc.), helping costs. More broadly, with inflation down and enterprise confidence up, companies are more willing to invest in digital transformation – which helps Microsoft’s software and cloud sales. In the high-inflation environment of 2022, some enterprises delayed IT projects; now they’re resuming, especially with AI as a catalyst. So Microsoft stands to gain from this normalization. For the stock’s reaction: focus will be on **Azure growth and AI commentary**. If Azure meets or exceeds ~26-27% and guidance for next quarter Azure is similar or higher, that will reassure investors that the cloud slowdown is over and AI is adding growth – likely boosting not just MSFT but other cloud names. Microsoft might also update on how many customers have signed up for its Copilot AI across Office, Windows, GitHub, etc. An upbeat tone from Nadella on AI demand (“we are seeing unprecedented interest in our Copilot offerings” etc.) would be bullish. Conversely, if Azure growth disappoints (say it’s still 25% or lower), the market could be let down. Given the massive run-up in AI expectations, Microsoft arguably has to deliver and inspire confidence in AI revenue ramps to justify further stock gains. All indications, though, are that it’s executing well – e.g., just this week they rolled out the new AI Copilot in Windows 11, and reports suggest strong enterprise trials. So, expect **Microsoft’s earnings to underscore the beginning of the AI monetization cycle**, with solid cloud growth and stable software sales, making it a potential highlight of the week.

- **Alphabet/Google (GOOGL):** Google’s parent reports Tuesday alongside Microsoft. Alphabet has rallied as well this year, driven by a recovery in advertising and excitement about its AI efforts (though it’s perceived as slightly behind MSFT in AI). **Consensus calls for Q3 revenue around \$85–\$86 billion (+10% YoY) and EPS of approximately \$2.17** ⁸¹. This would mark an acceleration from 7% growth in Q2. The main boost is expected in Google’s core advertising: Search ad revenue is projected to climb around 11% (benefiting from travel and retail advertisers coming back, and easier comps), YouTube ad revenue up maybe 7-8% (YouTube has seen re-acceleration thanks to Shorts monetization improving), and Cloud revenue up ~22-25% (slight decel from 28% last quarter, as Google Cloud also faces optimization by customers). Importantly, last quarter Google’s cloud segment reached profitability for the first time – investors will watch if it stays in the black. **Analysts are bullish** overall: many have raised estimates a bit, some seeing revenue closer to \$87B. Bank of America recently bumped its forecast to **\$86B and \$2.17 EPS**, slightly above street ⁸². BofA also noted they “**raised [their] Q3 revenue forecast to \$86 billion, above Wall Street’s \$85 billion consensus, and expect EPS of \$2.17**”, citing stable search trends ⁸³. They did trim EPS a tad due to investments, but generally, sentiment is that Google’s search business is faring well even as Bing/ChatGPT try to nibble at it. In fact, Google’s last two quarters showed very robust search growth, easing concerns about AI-driven share loss. For Q3, one swing factor is **the digital ad market** – data from Meta, Snap, etc., indicate Q3 ad spending was solid, with industries like travel, entertainment, and retail upping

budgets. So Google likely benefited. **Whisper/optimism:** some whisper that Search could surprise to the upside (perhaps low-teens % growth) given strong travel/tourism queries and Google's enhancements in AI-powered search results (Search Generative Experience) which might be keeping engagement high. Cloud is a question mark – Microsoft's Azure and Amazon's AWS have been slowing growth, and Google Cloud might similarly slow given optimization trends, though it's winning some big customers (and they just announced an expanded AI partnership with Midjourney, etc.). **Institutional sentiment** on GOOGL is very positive; the stock recently hit all-time highs. However, one overhang is the ongoing DOJ antitrust trial about Google's search dominance (paying Apple to be default, etc.). Any commentary from Sundar Pichai on that front is unlikely on the earnings call, but investors are mindful of it. On the **AI front:** Google is integrating AI across its products (e.g., Gmail/Docs Duet AI, new AI features in Android, etc.). They likely will talk about **AI as a growth driver** – perhaps giving metrics like how many workspace customers have signed up for Duet AI (which, like MSFT, they're charging extra for). Also, Google's own AI model PaLM 2 and the upcoming Gemini model – any timeline or impact could be discussed. One recent catalyst: Google said its AI chatbot Bard can now integrate with Google apps (Maps, YouTube, etc.), making it more useful. The market will want to know if Google sees AI as incremental revenue (like Microsoft does with Copilot) or more as an enhancement to defend core products (e.g., using AI in search results to ensure users stay). So far, it seems a bit of both. If Google reports strong results and guides an upbeat Q4 (e.g., they might say "we're encouraged by consumer spending in areas like retail as we head into holiday season"), it will reinforce that the digital ad recession of 2024 is well behind us. Also look at **Google's expenses** – last quarter they hired quite a lot in AI, and capex spiked for AI data centers. If Q3 shows continued high capex, margin might be slightly pressured. But given revenue acceleration, operating margin is expected to improve YoY. In summary, **Alphabet's earnings should illustrate a healthy ad business + burgeoning AI opportunities.** A potential point of caution: if Google Cloud's growth slows more than expected or if management strikes a note of uncertainty on ads (maybe referencing geopolitical risks or delayed advertiser decisions), that could temper enthusiasm. But base case is that **Google's core search ads are a cash cow benefiting from a benign macro and minimal inflation – companies have money to spend on ads now that costs are stable.** Expect solid double-digit profit growth and lots of AI talk from Alphabet, which together would be market-friendly.

- **Amazon (AMZN):** The e-commerce and cloud titan reports Thursday. Amazon's Q3 is expected to show continued strength in both its retail and AWS cloud segments. **Consensus is for ~\$143 billion in revenue (+12% YoY) and EPS around \$0.58** (vs \$0.28 a year ago – a big jump reflecting improved margins). Amazon has guided Q3 revenue \$138–143B, so street is at the high end, and operating income \$5.5–8.5B (vs \$2.5B a year ago). That wide guidance range leaves room for a beat. Factors: **US e-commerce** likely had a solid quarter – consumer demand was steady, and Amazon had a successful Prime Day event in July kicking off Q3. Lower inflation means Amazon's own costs (shipping, fulfillment) have moderated, and it has been implementing efficiency (e.g., regionalized fulfillment network) which boosted margins last quarter. So the North America segment may show healthy operating income. **AWS (Amazon Web Services)**, their cloud unit, is forecast to grow ~12% YoY – similar to last quarter's 12% and possibly a tick higher as optimization headwinds ease and new AI workloads contribute. Investors will focus heavily on AWS's growth trajectory and any commentary on Q4 cloud demand. Microsoft and Google's cloud results (earlier in week) will set some expectations – if they show stabilization, it bodes well for AWS. Amazon's retail business is also sensitive to consumer finances: with inflation easing, consumers might spend more on discretionary goods (Amazon likely saw improved electronics/appliances sales, for instance). However, student loan repayments resuming in Sept could be a slight late-Q3 headwind for US consumers. **Institutional sentiment** on

AMZN is very bullish; many see it as a prime beneficiary of both the AI trend (through AWS) and a resilient consumer. **Whispers:** Some analysts think Amazon's operating income will smash the top of its guidance (maybe ~\$9B vs \$7B midpoint) because of strong cost control and better-than-expected sales. If Amazon delivers, that would mark three straight quarters of significant margin improvement – a narrative change from the low-margin days of 2022. On the cloud side, any hint that AWS growth is reaccelerating (even to 13-15%) would be taken very positively. Also, Amazon has a newer CEO at AWS who might give qualitative color on AI demand – e.g., how customers are adopting AWS's Bedrock AI platform or custom AI chips (Amazon's Trainium, Inferentia). **Inflation aspect:** For Amazon, high inflation last year hurt by raising wage and fuel costs; now those have leveled off. Amazon even lowered prices for its fulfillment by Amazon fees recently – a sign cost pressures eased. That likely boosted marketplace sellers and volumes. Also, as product prices stop rising, Amazon's retail growth is more volume-driven, but if they attract more shoppers with competitive pricing, it can pay off in market share. So Amazon stands to gain from an inflation cooldown: costs down, demand up. Potential risk: if the Fed's hikes hit consumer credit or holiday budgets, Amazon might be cautious on Q4 guidance. But with gasoline prices down and employment still strong, holiday 2023 is expected to be decent. Amazon will probably give Q4 guidance in the earnings – likely a revenue range with ~11-15% growth (street is around 13% for Q4). Any sign of a robust holiday outlook (and continued margin expansion in Q4) could lift the stock. Conversely, if they guide conservatively (maybe bracing for macro uncertainties), it could momentarily disappoint. However, given Amazon's trend of beating and raising this year, many expect an upbeat tone. **AI** will be another theme: Amazon just announced an investment in Anthropic (an AI startup) and is incorporating AI in everything from Alexa to fulfillment algorithms. They might discuss how AI is making their operations more efficient or new AI services for AWS customers. All told, **Amazon's print could be one of the week's strongest**, showcasing double-digit growth and multi-year high operating margins, a stark turnaround from its margin squeeze last year. That would underscore how falling inflation and cost discipline transformed Amazon's profitability.

- **Apple (AAPL):** The world's largest company reports Thursday as well. Apple's quarter is its fiscal Q4 (July–Sept). It's expected to be a bit soft on revenue – consensus calls for ~\$89.3 billion in revenue (roughly –1% YoY) and EPS of about \$1.77 ⁸⁴. Apple has had three straight quarters of slight revenue declines as device sales have been tepid, but this quarter included the launch of the **iPhone 15** (on sale for about 10 days of the quarter). Early indications are mixed: high-end iPhone 15 Pro models saw strong demand (wait times), but production issues and macro weakness in China and Europe may have weighed on overall unit sales. Services revenue (App Store, subscriptions) likely grew high-single-digits, which helps offset hardware declines. **Institutional sentiment** on Apple is moderately positive, but not euphoric – the stock has traded sideways as investors wait for reacceleration. **Key things:** iPhone revenue is expected around \$43B (flat YoY), Mac and iPad likely down from last year (as those had strong pandemic-era sales), Wearables (Watch, AirPods) somewhat flat. So, the street is looking for an inflection starting next quarter (holiday) when the new iPhones are fully reflected. **Whisper/what to watch:** Apple typically doesn't give formal guidance, but might give some qualitative comments. The market expects growth to return in the December quarter (fiscal Q1) – maybe low-single-digit growth – driven by iPhone 15 cycle and easier comparisons (last holiday was -5% YoY due to supply issues). If Apple management indicates something like “we expect year-over-year revenue growth in Q1,” that will be cheered. If they caution about, say, “foreign exchange will be a 2-point headwind and macro remains challenging,” investors might be less enthused. **Inflation angle:** Apple has navigated inflation by raising some prices (e.g. in services, or higher iPhone Pro prices in some markets). Now inflation easing helps consumers afford these pricey devices (especially

in emerging markets). However, Apple's results have been more impacted by **currency fluctuations** (a strong dollar reduces overseas revenue) – the dollar strengthened in Q3, which likely is a 200 basis point drag YoY, per Apple's last commentary. Ex-currency, Apple's revenue would likely be slightly up. If inflation is down and rates stabilize, currencies might also stabilize, which helps Apple. Another factor: **China's economy** – some softness there and a bit of geopolitical concern (China govt workers were rumored to face iPhone restrictions). Any commentary on China demand or the competitive landscape (e.g. Huawei's new phone) will be important. Apple is also big on **AI** but has been quieter – it's reportedly working on AI features, and it will no doubt mention how AI on-device (like Siri improvements) are coming. But Apple might not highlight AI as heavily as others, instead focusing on product satisfaction and ecosystem. For the stock, since Apple is already very well-owned, it likely needs signs of a re-acceleration to push higher. If iPhone 15 demand is strong (especially for Pro models which raise average selling price) and if Tim Cook expresses optimism for the holidays (perhaps expecting record revenue again), that could boost shares. If, however, Apple delivers another slight decline and offers a lukewarm outlook (e.g. "flattish" holiday quarter), the stock could sag and weigh on the Dow/Nasdaq. Considering Apple's historical tendency, they will likely manage expectations carefully but optimistically – noting growth areas like India (where iPhone sales have been booming) and Services (which could hit an all-time high). With inflation no longer a major issue for Apple's cost structure or consumers, the focus is purely on innovation and upgrade cycles. This quarter may be the transition before return to growth. So keep an eye on that narrative: the market will tolerate a so-so Q3 if Apple convincingly points to a return to growth in Q4 and beyond.

- **Celestica (CLS):** A somewhat under-the-radar name, Celestica is a Canadian electronics manufacturing services (EMS) company that has become an **"AI hardware pick-and-shovel"** play. Celestica builds hardware for data centers (like server boards, switches) and counts major tech firms as customers. Its stock has surged as it's supplying critical components for the AI data center build-out (e.g., for Nvidia, Microsoft, etc.). Celestica reports Wednesday, and **analysts expect a strong quarter**. Consensus isn't widely published, but guidance from last quarter was for Q3 revenue ~\$2.04 billion (+around 10% YoY) and EPS around \$0.80 (up significantly YoY). Some analysts have hinted **Celestica will beat and raise** – RBC recently upped its 2025 forecasts for them given AI demand ⁸⁵. The company already raised its full-year outlook in July (calling for 2025 revenue ~\$11.5B, far above prior ~\$10.9B) ⁸⁶. **Institutional sentiment** is bullish but mindful of how far the stock ran. Key metrics: growth in its ATS segment (Advanced Technology Solutions, which includes data center and AI hardware) – that was up 37% YoY last quarter; and margins (Celestica has been expanding margins as volume increases). **Whispers** suggest Celestica could again beat estimates and perhaps guide Q4 above consensus, thanks to "surging demand for AI infrastructure" ⁸⁷. One caution: the stock dipped in recent weeks on a short report and fears that 2026 could see a slowdown if this year was peak AI build. So Celestica's commentary on backlog and demand sustainability will be crucial. If they say something like "we continue to see robust orders and expect growth into 2026," it would reassure investors. **Inflation factor:** As a manufacturer, Celestica's costs for components and labor were elevated in 2021-2022. Now, with supply chain pressures easing (e.g., chips easier to get, freight costs down), Celestica likely benefited from lower input costs and higher selling prices (since demand is hot). So it's in a sweet spot of high demand and improving cost environment – hence the margin expansion. The risk might be if any supply bottlenecks re-emerge (like shortages of certain AI chips – but that would more limit revenue than hurt margin). For the market, Celestica's results can be viewed as a read-through on the **AI investment cycle**. If they blow past numbers, it implies companies are full throttle on AI data center construction, which bodes well for suppliers like Nvidia (chips) and others in the ecosystem. If they were to disappoint or caution, it might raise eyebrows about AI spending hype

versus reality. Given all signals, however, **experts see Celestica continuing its hot streak alongside the AI boom** ⁸⁵ . The company's transformation from an old-school EMS to an AI-age supplier is one of this year's interesting stories. Look for its book-to-bill ratio and any new program wins (it recently mentioned a large new AI hardware program ramping in Q3 ⁸⁸). Summarily, expect **Celestica to post very strong growth and bullish guidance**, reinforcing that the AI infrastructure build-out is still in an early, robust phase.

Global Impact Considerations: Aside from U.S. events, investors will remain vigilant to global developments that could swing sentiment:

- **APEC Summit & U.S.-China Relations:** As discussed, President Trump's meeting with Xi during the APEC summit (scheduled for Nov 2) is looming. Any news leaks or statements early in the week about progress (or lack thereof) could move markets. If, for example, over the weekend/early week there's word of a **"positive framework"** agreed upon for the Trump-Xi talks (as some officials have hinted ⁸⁹), markets would cheer the reduced trade uncertainty. Conversely, any hardline commentary (perhaps from China's side or if geopolitical tensions over Taiwan or export controls flare up during APEC) could create caution. At APEC, other global leaders will be present, and **trade agreements** could emerge (indeed, the U.S. and Vietnam are finalizing a trade deal cutting tariffs to 0-20% on many goods ⁹⁰ , showing the U.S. is shoring up ties in Asia). A more harmonious trade environment – even if just ceasefires in disputes – would support **multinational stocks** (tech, autos, industrials) and could further weaken the dollar (as we saw this week with tariff optimism).
- **China's Economy:** Investors are also tracking China's economic data and policy moves. Next week China will release PMI data (on Oct 31) – if it shows improvement (recent stimulus and seasonality could help), it might lift sentiment for commodities and global growth proxies. Any new **stimulus measures** or easing from Beijing – for instance, more property support or interest rate cuts – would be a boon to sentiment (and commodities). On the flip side, if China's recovery looks wobbly or if there are **escalations** (e.g., China imposing new export curbs – recall earlier this month China restricted graphite exports, a critical EV battery material), that could cause some sector rotations (benefiting safe havens, hurting companies reliant on Chinese demand). So far, October headlines from China have been mixed but generally the government is taking steps to stabilize growth.
- **Geopolitics and Oil:** The Middle East situation (Israel-Gaza war) remains a background concern. Oil prices spiked to ~\$90 after the conflict began but have since retreated toward mid-\$80s. Markets seem to assume the conflict won't spread to major oil producers. Still, any developments – say, escalation involving Iran or a disruption in oil flows – could jolt oil prices and thus energy stocks and inflation expectations. Conversely, if diplomatic efforts progress (there are talks of trying to limit the conflict), oil might stay contained or fall, which would be another **tailwind for equities via lower inflation expectations**. This week, the **WTO chief** warned about U.S.-China decoupling risks ⁴⁸ – that long-term risk (7% hit to global GDP if decoupling persists) is one reason both sides might be motivated to ease tensions. Europe's economy is another global factor: it's been soft (PMIs in contraction). Any major news (like if the ECB meeting on Oct 26 gave hints of future rate cuts) could influence U.S. markets via yields. The ECB did stand pat and sounded cautious, possibly foreshadowing rate cuts in 2026. This contributed to lower global yields, benefiting U.S. bonds.

In summary, **the global backdrop appears cautiously improving**: trade tensions thawing, inflation falling globally, central banks pausing hikes, and targeted stimulus in China – all supportive of risk assets. Of course,

risks remain, including the outcome of Trump-Xi meeting (a success could further boost markets, while a failure or contentious meeting would disappoint) and any unforeseen geopolitical flare-ups. But as of now, investors are leaning into the idea that the **worst-case outcomes have been avoided** – e.g., no full-blown U.S.-China trade rupture, no global inflation spiral, and no severe global recession. That underpinning, combined with the upcoming likely Fed rate cut, gives reason to be optimistic as we head into the final trading months of 2025.

Bottom Line: The week of Oct 20–24 saw U.S. markets rally on cooler inflation and strong earnings, and the coming week (Oct 27–31) could extend those gains if the Fed delivers a dovish cut and Big Tech earnings impress. Investors should stay attuned to Fed Chair Powell’s remarks on Wednesday for direction on rates, scrutinize GDP and PCE data to confirm the disinflation + growth narrative, and closely watch the **earnings deluge** – particularly the mega-cap tech results that have the power to sway the whole market. Additionally, any signals from Washington and Beijing around the APEC summit will be key for gauging trade winds. So far, the mix of **falling inflation, steady growth, and easing geopolitical strains** is creating a favorable backdrop for equities. As always, surprises can occur, but at this juncture the market seems to have the wind at its back heading into November, provided the news flow meets expectations. Investors will be navigating one of the busiest weeks of the year, but if outcomes align with the optimistic forecasts (Fed cut, solid earnings, benign data), the **S&P 500’s year-end rally could very well gain additional steam** ²⁶ .

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